

Licensed Brokers in Michigan

A licensed broker in Michigan may choose to operate as an associate broker under a licensed broker, as a sole proprietor, or as a sponsoring broker who runs a real estate office and oversees the work of other salespersons and associate brokers. This list will help you understand the differences.

Sole Proprietor

- Keeps track of cash flow and overhead
- Has ownership control of the business
- Has equity interest in the business
- Works without a commission split
- Sets rates as desired
- Is free from reporting to a broker
- Has flexibility in where to work

Sponsoring Broker

- Supervises salespersons and associate brokers
- Trains salespersons and associate brokers
- Keeps track of cash flow and overhead
- Has ownership control of the business
- Has equity interest in the business
- Has infrastructure and professional office space
- Sets rates as desired

Associate Broker

- Has credibility that comes from working for an established brokerage
- Has infrastructure and professional office space
- May potentially step into a managing broker role